

Principles of Management

Mid-Term Examination

Course: Principles of Management (Sessions 6-9)

Total Marks: 20

Time Allowed: 90 Minutes

Section A

Q1. [Short Answer] (5 Marks)

Explain the concept of human capital and why it is considered a strategic investment for an organization's functioning.

Q2. [Case Study] (5 Marks)

Case Study:

TechFlow Solutions is a software startup that has rapidly grown from 5 to 30 employees in under a year. Currently, the founder acts as the sole manager for all 30 staff members, maintaining a very wide span of control. However, project deadlines are being missed, and employees report feeling overwhelmed and lacking clear direction. The founder realizes that the current flat **structure** is no longer sustainable and that the "Unity of Command" is being compromised as senior developers have started giving conflicting orders to juniors.

Question:

Design a revised organizational reporting **structure** for TechFlow Solutions that addresses the issues of span of control and chain of command to improve operational efficiency.

Q3. [Descriptive] (5 Marks)

Differentiate between tall and flat organizations by analyzing how their structures influence management costs, communication flow, and employee productivity.

Q4. [Short Answer] (5 Marks)

Describe the "ripple effect" as a disadvantage of internal recruiting and **explain** how it differs from the process of derecruitment.

[End of Examination Paper]